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General Knowledge
Modern History

STUDY NOTES

British Policies and its Impact on India

BRITISH POLICIES AND ITS IMPACT ON INDIA

- The British East India Company exploited the declining Mughal Empire to expand its control over territories in South India, Bengal, Bihar, and coastal Orissa—regions renowned for their thriving agriculture, trade, and handicrafts.
- The Company sought to derive economic gain from these conquests, establishing a colonial system designed to extract surplus from India's agrarian economy during the late 18th and early 19th centuries.
- The severe impacts of British economic policies are reflected in widespread deindustrialization, rising indebtedness, poverty, and recurrent famines. Prominent Indian intellectuals offered sharp nationalist critiques that revealed the imperial economic exploitation in India.
- Analyzing this contested legacy is crucial to understanding the structural limitations embedded in the postcolonial economy and the ongoing effort to reverse these distortions to achieve equitable national development.

Economic Policies

The Battle of Plassey marked a pivotal moment in the economic history of British India, leading to increased British intervention in trade and policy-making. Through the East India Company's policies and the actions of its corrupt officials, local trade suffered, paving the way for British rule and the creation of a profitable market for British goods.

East India Company's Role as a Trading Corporation (1600-1757)

- **Trading Activities**: The East India Company functioned as a trading corporation, bringing goods and precious metals into India in exchange for Indian textiles, spices, and other products, which were then sold abroad.
- **Profits from Indian Goods**: The Company's revenue primarily came from selling Indian products in overseas markets.

Transformations Post-Battle of Plassey (1757)

- Political Control and Indian Trade: Victory in the Battle of Plassey allowed the Company to leverage political power in Bengal to expand its trading dominance in India.
- Exploitative Practices of the East India Company:
  - ➔ **Exploiting Weavers**: The Company used its political influence to force Bengal weavers to sell their products at low, dictated prices, resulting in significant losses for the weavers.
  - ➔ **Elimination of Rivals**: The Company marginalized both Indian and foreign competitors, preventing them from offering better wages or prices to local artisans.
  - ➔ **Cotton Market Monopoly**: Company agents monopolized the raw cotton market, charging high prices to weavers, impacting them as both buyers and sellers.

Impact of Britain's Industrial Revolution

- **Global Trade Expansion**: Britain's growing global trade provided access to various markets, including India, which allowed British export industries to expand.
- **Sufficient Capital**: With ample capital concentrated among merchants and industrialists eager to invest in trade and industry, significant funds were directed toward India.
- **Political Support**: Influenced by commercial and manufacturing interests, the British government actively pursued markets and colonies like India.
- **Technological Advances**: Inventions such as spinning machines and steam engines by innovators like Hargreaves, Watt, and Crompton boosted production and created demand for Indian raw materials, impacting local manufacturing.

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Economic Critique

Personality	Book/Journal
Dadabhai Naoroji	'drain theory' in his renowned book Poverty and the Unbritish Rule in India.
R.C. Dutt	Economic History of India
G.Subramania Iyer	Some Economic Aspects of British Rule in India

Economic Impact of British Rule

The advent of British rule in India brought about profound changes in its economy, with policies designed to serve British interests, often to the detriment of India's economic health and well-being. The major economic impacts of British rule on India included

Disruption of the Traditional Economy

- British policies and conquests transformed India into a colonial economy, largely serving British interests.
- The traditional Indian economic structure was completely disrupted, as British rulers distanced themselves from Indian life and culture.

Decline of Artisans and Craftsmen

- India's once-renowned urban handicrafts industries rapidly declined under pressure from cheap British machine-made goods.
- The construction of railways enabled British manufacturers to penetrate even remote villages, further accelerating the decline of traditional industries.
- The disappearance of Indian rulers and royal courts, who were important patrons of handicrafts, worsened the situation for artisans.

Impoverishment of the Peasantry

- British policies imposed heavy land revenue demands, leading to widespread hardship among Indian peasants.
- Peasants were left at the mercy of zamindars, landlords, and the government, with high taxes and little economic return driving them into cycles of debt.

Decline of Old Zamindars and Rise of New Landlordism

- Many traditional zamindars faced financial ruin under British rule, and the auctioning of revenue collection rights and strict collection laws transferred land ownership to a moneyed class.
- The emergence of new landlords increased the burden on peasants.

Stagnation and Deterioration of Agriculture

- Indian agriculture stagnated due to overcrowding, excessive land revenue demands, exploitative landlordism, and rising debt.
- Yields per acre significantly declined, worsening the conditions for farmers.

Development of Modern Industries

- Large-scale machine-based industries, such as cotton textiles, jute, and coal mining, emerged in the latter half of the 19th century.
- However, most industries were owned or controlled by British capital, limiting Indian involvement and stifling indigenous industrial growth.

Poverty and Famines

- British economic policies led to widespread poverty among Indians.
- Famines became a recurring tragedy, devastating India in the late 19th century. The lack of adequate food supplies further deepened India's economic backwardness and poverty.

The East India Company's evolution from a trading corporation to a political power reshaped India's economic landscape. British industrial growth was fueled by factors like overseas trade, capital accumulation, population growth, and technological advances. This industrial revolution influenced Indian administration and trade policies, favoring British interests over India's.

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